## FACETS OF SETTING FINANCIAL GOALS

### TIMELINE

Before you set any financial goal, it is important to evaluate how long it will take you to meet the goal. Knowing this will allow you to set enough time for the same. One of the reasons why people find it challenging to meet their financial goals is because they set a short timeline. If the goal is to be met within a short deadline, it means that the person has to work under pressure to meet the goal. The chances of meeting a financial goal while working under pressure are minimal.

### RESOURCES

It is equally important to consider the resources needed for meeting any particular goal. Once you have identified the resources, it will become easy for you to determine whether you can meet the goals or not. This will, therefore, prevent you from setting unrealistic goals that are bound to frustrate you. The more realistic your goals are, the easier it will be for you to achieve them. This will also motivate you to set more goals, thus attaining financial freedom.

any amount of data can be just that as long as it doesn't match what your needs or affordability are. For instance, for some, Rs 5,000 a month to save and invest would be a lot, whereas for others, it may be a fraction of what they can commit.

The key to becoming financially independent is setting realistic goals regarding your financial issues. These goals could include education, career, spending habits and how you save money, among others. Realistic goals are the kind that you can easily achieve, without much struggle.

If you set unrealistic financial goals, you are likely to get frustrated. Unrealistic financial goals mean that you are unlikely to achieve them. For instance, when you can save only a maximum Rs 25,000 a month, it is futile to set a plan for investing a much bigger amount towards meeting your numerous financial goals. It is better to set achievable goals than go about having them only on paper.

One should avoid creating goals that are too extreme. Suppose your goal means that you need to invest Rs 10,000 a month for the next three years but you can't invest more than Rs 6,000 at the moment. Instead of giving up on the goal, it would be wise to make a start with what you can and build on it. You can increase your savings and investments towards this goal over time. This way of setting and working on realistic financial goals is more sustainable than going from saving nothing to saving a much higher number. Use the same approach to work on several financial goals simultaneously instead of fully channelising your savings into a single goal.

### CUT EXPENSES, INCREASE SAVINGS AND STAY OFF DEBT

If you cut expenses, chances are you will end up saving more and vice versa. It is important you realise what is important for you today and what is important for the future. But do not deprive yourself of everything in the quest to increase savings. The way to increase your savings and, in turn, investments is to look for additional income streams by taking up more work. This may not be possible for everyone, but if you can get additional work without compromising your current job, it can prove to be a good way to increase your savings.

If you are a single-income family, you could look at your spouse taking up a part-time job or one that doesn't disturb the functioning of the house. If you both are working, one of you may consider pursuing further skill enhancement options so that it could increase your income or create additional work stream in your spare time or a completely new employment opportunity that could solve your concerns about saving more. This too isn't as easy as it sounds, but many people have worked towards increasing their income or earnings by doing exceptionally well at work.

The habit of living within one's means will go a long way in saving money and disciplining you in living within a budget that meets your current expenses and works on your future financial goals. Frugal living doesn't mean you compromise on the quality of your life; it means to not get swayed by your income. Likewise, your credit card limit is not wealth; it is just readily available money that will cost you if you use it, especially if you are unable to repay the outstanding in total.

Remember, the cost of borrowing money is often more than the returns that you may earn from your savings. For instance, a bank savings account pays you under 5 per cent interest, but the cost of borrowing money from the bank for a year is a lot more than that. Borrow only if necessary and repay the loan in full and as early as possible. Loans aren't all bad, in fact they can help you advance some of your financial goals and may even help you cre-

**DELAYED GRATIFICATION IS THE ACTION TO RESIST THE TEMPTATION OF IMMEDIATE PLEASURES AND WAIT FOR BIGGER REWARDS IN THE FUTURE**